The Millwall Football and Athletic Company (1985) Limited

Annual Report and Financial Statements

Year Ended

30 June 2023

Company Number 01924222

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The Millwall Football and Athletic Company (1985) Limited

Company Information

Directors	J Berylson P Garston C Gonticas S A Kavanagh T J Keyse D Kouvaris R S Press M K Sidman
Company secretary	E C Parker
Registered number	01924222
Registered office	The Den John Berylson Way London SE16 3LN
Independent auditors	BDO LLP 55 Baker Street London W1U 7EU
Bankers	Barclays Bank Plc Corinthian House 17 Lansdowne Road Croydon CR0 2BX
Solicitors	Irwin Mitchell LLP The Colmore Building 20 Colmore Circus Queensway Birmingham B4 6AH

The Millwall Football and Athletic Company (1985) Limited

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The Millwall Football and Athletic Company (1985) Limited

Strategic Report
For the Year Ended 30 June 2023

The Directors present their Strategic Report together with the audited financial statements for the year ended 30 June 2023.

Principal activity

The Company's principal activity is that of a professional football club.

Business review

The campaign under review, 2022/23, was the club's sixth consecutive season in the Sky Bet Championship, which is the second tier of English football.

The team enjoyed another strong and successful season, narrowly missing out on a place in the division's top six and Play-Off places on the last day of the campaign. The final points tally was 68, one fewer than the previous season, but it was enough to secure an eighth-place finish, one position higher than 2021/22.

A total of 26 different players were used over the course of the campaign, which was the same as the previous season. This total remains one of the lowest in the Championship and highlights the club's tight controls around budget and squad size in comparison to some of their competitors.

There was a senior debut for one Academy graduate during the season, while several others who have progressed through the club's youth ranks continued to feature prominently. A consistent player pathway from Academy to first team is at the core of the club's philosophy and remains a vital strategic objective as part of wider plans for growth and development both on the football and business sides of the operation.

The club is required to comply with the EFL's Profit and Sustainability Rules which, in overview, permit clubs to incur losses up to £39m over a three-year period before any restrictions on spending are applied, providing that losses in excess of £5m per year are funded through equity. In the season under review, the club were once again well within these financial limits and the Board remains totally committed to complete compliance with the rules to ensure the sustainability and health of the club for the benefit of all stakeholders.

Competitive imbalances within the Championship continue to grow each season as the financial strength of the Premier League, the division above, increases year on year. Clubs relegated from the Premier League into the Championship arrive with parachute payments, which serve to distort on-pitch competition, player salaries, the recruitment market, and more.

As outlined in last year's strategic report, the COVID-19 pandemic, as well as the failed European Super League initiative, accelerated talk at government level of stricter financial controls and better governance of clubs. The Fan Led Review was a significant step towards achieving those aims, but despite ongoing discussions amongst all stakeholders, 2022/23 saw no 'new deal' for football. The club remains supportive both of calls for an Independent Regulator of the sport and a redistribution of income from the Premier League to the EFL, providing it comes with enhanced regulation to help improve the sustainability of clubs. Regulation and redistribution must come as one.

A review of the Company's financing, property development and regeneration activities is provided later in this report.

John Berylson

In July 2023, John Berylson, the club Chairman tragically passed away following a car accident. John's sudden and tragic passing unquestionably impacted all those who were fortunate to have known him. He was a truly great man, incredibly devoted to his family, and a person of such remarkable generosity, warmth, and kindness. He lived a storied life, one full of colour and joy, and was infinitely thoughtful of others with an endless desire to share his immense knowledge and experiences to help people.

Under John's passionate leadership and guidance, Millwall Football Club has enjoyed tremendous success and stability. Since first becoming involved in the club in 2006, he has presided over some of the greatest moments in Millwall's history, and his influence in providing the platform for those was immeasurable.

John revelled in the club's underdog status and mentality. He related strongly to such values and identity and adored Millwall supporters. He was fiercely loyal to all his staff, and both they and the fan base will miss him beyond measure. Any success moving forward will be in his memory and honour. It will be his legacy.

Rest in peace, John, and thank you. You were loved and adored.

Results

The Statement of Comprehensive Income is set out on page 13 of the Company's financial statements.

Revenue for the year at £19.4m (2022 - £18.6m) is an increase of 4% (2022 - 49.2% increase). Total matchday revenue has increased by 7% year on year from £5.8m in 2021/22 to £6.2m in 2022/23. Commercial revenue, whilst showing a 19% decrease for 2023, this is due to the business decision to outsource the retail operations, and we see an offsetting saving in the cost of sales. Other commercial areas, such as external location hires have seen significant increases since 2022.

Central income from EFL basic award has a 17% increase year on year, as well as 177% increase from TV facilities fees £715k vs £258k in 2022. Streaming income has also seen significant increase of 213%, £397k vs £127k in 2022.

Average league attendance for the year was 14,767 compared to an average of 12,998 in 2022, representing a year on year increase of 13.6% as well as the highest average attendance for the club since moving to the Den in the 1990's.

Total staff costs of £22.6m represent a 1% increase over the prior year (2022 - £22.3m), reflecting the continued investment both into the playing squad, as well as the football management team that took place during the year.

Other expenses have increased significantly year on year in line with the increase in business activity, with the 15% (2021/22 - 45.8%) increase to £7.9m (2021/22 £7.0m) reflecting the more ordinary levels of business activity and increased fan attendance.

Following a shareholder general meeting on 23 June 2022, the shareholders approved the resolution to reregister the Company as a private limited company. The Company name was changed to The Millwall Football and Athletic Company (1985) Limited, and new articles of association were agreed at that time.

At 30 June 2023, the Company had net liabilities of £128k (2022 - net liabilities £116k).

The Directors do not recommend payment of a dividend.

Commercial Endeavours

The club would like to thank all its various sponsors and partners, at all levels, for their invaluable support throughout 2022/23.

Continued growth of all commercial revenues is of critical importance to the club's overarching strategic direction.

A series of highly attended and sell-out matches towards the business end of the season, some of which were record-breaking at that time, propelled ticket and hospitality revenues far in excess of budget. Season ticket numbers were also at historic levels for the campaign. However, overall, these enhanced revenues were partially offset as a result of Elite Sports Group Ltd, the club's retail provider, going into administration during November 2022 which resulted in the termination of the agreement between both parties. It is hoped that a new multichannel retail partnership with Fanatics, announced in April 2023, will be significantly more beneficial for the club and supporters moving forward.

Given the club's location close to the heart of the City of London, the competitive landscape around conferencing and events continues to be a challenging one. While business improved from 2021/22, there remains significant potential and room for growth in this area for the club.

In 2022/23, the Community Trust engaged with over 12,000 people of varying ages and backgrounds across its diverse range of programmes, which included several new initiatives.

Finance

The Company continues to be funded by its immediate parent company that, in tern, is funded by its principal shareholder, Chestnut Hill Ventures LLC ("CHV") and by its Directors. The existing facility provided to Millwall Holdings Limited is £20m (CHV Facility) with £10m outstanding at the year end. Additional funding requirements during the year have been met by CHV and certain Directors subscribing for new ordinary shares of £10,000 each at par. During the year 1,692 ordinary shares were issued for cash raising £16.92m of funds for Millwall Holdings Limited that have been invested in the Company.

The CHV Facility and the £525,000 2013 Unsecured Loan Notes (Loan Notes), held by Directors and their associates, were repayable on 1 July 2023. CHV and the Loan Notes holders had agreed that no interest would accrue in respect of the CHV Facility and Loan Notes until 30 June 2023. By an agreement dated 30 June 2023, CHV extended the suspension of interest until 1 July 2024 (when interest will begin to accrue again unless CHV agrees otherwise). The other Loan Notes holders have agreed that no interest will accrue on the Loan Notes until the date on which the Company and CHV agree that interest will begin to accrue again in respect of the CHV Facility. The repayment date of the CHV Facility and other Loan Notes was also extended to 1 July 2025.

The Directors are of the view that, together with the further arrangements referred to in note 1 to the financial statements, ongoing equity investment and extended loan facilities from CHV and the Directors, provides the Company with sufficient access to working capital to fund the operations of the Company over the next few years.

Regeneration

The club's improved relations with Lewisham Council and Renewal, the property developer for the adjacent site, continued in 2022/23, during which more progressive talks were held with Lewisham Council, including newly elected Major Brenda Dacres.

These conversations were geared towards agreeing a new long-term lease of the land surrounding The Den, which would give the club development rights as part of plans designed to benefit the club, its supporters, the Council itself, and the local community generally.

By the close of the 2022/23 season, these negotiations were at an advanced stage, and it is hoped that during 2024 there will be landmark announcement in this regard after years of uncertainty and delay.

Training Ground

In October 2022, Sevenoaks Council's planning committee formally approved the club's plans for a new training ground on a 100-acre site in West Kingsdown, Kent. This new location is designed to bring together the first team and Academy, and their respective support and administration staff, rather than have them operate on separate sites as is currently the case. This brings about varying logistical challenges which a new location would serve to reduce.

During 2022/23, the club commenced comprehensive and lengthy cost analysis and tendering processes with a view to initiating work on the site as quickly and effectively as possible. Significant increases in costs of building materials and labour proved somewhat detrimental to the speed of this endeavour but the Board remain totally committed to opening the new site as speedily as is economically and operationally possible.

Community Trust

In line with approval of plans for a new training ground in West Kingsdown, the Millwall Community Trust began some initial phases of outreach work in the Sevenoaks area during 2022/23. This was of course in addition to its long established and lengthy list of programmes carried out across the London Boroughs of Lewisham and Southwark.

The club's commitment to a thriving and ultimately successful Community Trust is reflected by having two of its Directors and two members of senior management on the Board of Trustees. The strength and depth of the relationship is also demonstrated by financial support and by making club facilities, resources, and assets available for their benefit, including the arranging of first team player visits to different programmes across the season.

Principal risks and uncertainties

In common with many football clubs outside the Premier League, the main business risk is the maintenance of a positive cash flow, bearing in mind the uncertainty of turnover and the high cost of maintaining a playing squad on which the success of the Group's business is largely dependent. In order to achieve a positive cash flow there is the constant requirement to raise new finance and refinance existing facilities which, in turn, requires the continuing support of existing providers of those facilities.

A significant amount of the club's revenue is derived from ticket sales. Income generated from gate receipts is highly dependent on the level of attendance at matches. The COVID-19 pandemic highlighted the reliance of all football clubs on matchday revenue. This period in time also highlighted the resilience of the club to deal with and manage such extreme impacts on a critical revenue, although football without fans was not the same.

Some income streams of the club (such as television rights and related income) are dependent on third party contracts and arrangements to which the club is not a party and over which the club can exercise no or little influence.

Principal risks and uncertainties (continued)

As part of its normal activities, the club deals in the trading of player registrations and there is always a risk of significant and lasting injuries to players that may impair their values. Players aged 24 years or older are free to move between clubs once their contract has come to an end and Directors monitor expiry dates carefully with a view to renewing contracts or realising value.

Relevant business risks are discussed during Board meetings so that, where a material exposure is identified, mitigating action can be taken.

Post balance sheet events

As noted elsewhere in the Directors Report, in July 2023, the club Chairman, John Berylson, tragically passed away following a car accident. This has had a deep impact on everyone associated with the club.

Since June 2023, we have strengthened the team by adding a number of players, namely Nisbet, De Norre, Harding and Šarkic as permanent signings in the summer window, along with loans in of Norton-Cuffy, Longman and Campbell. The winter window saw an additional signing of Mayor, with further loans in of Tanganga and Obafemi. Players outward bound during the season include Evans, Burey, Vogslammer and Long.

Going concern

In assessing the appropriateness of the going concern assumption, the Directors have produced detailed cash flow forecasts until 30 June 2025.

The Directors have continued to undertake a range of measures to ensure a prudent running of the organisation. There is a £20m facility in place from CHV that was drawn to £10m as at the year end, which does not fall due for repayment until 1 July 2025. The Directors believe this, in conjunction with the ongoing support of the Company's principal shareholder, provides sufficient working capital for the current needs of the Company for the foreseeable future, being not less than 12 months from the date of approval of these financial statements. However, forecasts prepared for and reviewed by the board demonstrate that in most reasonable scenarios additional shareholder funding will be required which is not yet guaranteed. As such, the Directors have identified a material uncertainty that may cast significant doubt over the Company's ability to continue as a going concern for the foreseeable future and therefore it may be unable to realise its assets and discharge its liabilities in the normal course of business.

The club and Directors strongly support the call by the Fan Led Review and the EFL for a redistribution of income from the Premier League providing it comes with enhanced regulation to help improve the sustainability of clubs and the ability of the regulator to directly deal with any systemic failings within the football pyramid. Regulation and redistribution must come as one.

This report was approved by the board on 28th March 2024 and signed on its behalf.

S A Kavanagh
Director

The Millwall Football and Athletic Company (1985) Limited

Directors' Report
For the Year Ended 30 June 2023

The Directors present their report together with the audited financial statements for the year ended 30 June 2023.

The Company changed its registration on 5 August 2022 from The Millwall Football and Athletic Company (1985) PLC to The Millwall Football and Athletic Company (1985) Limited.

Results and dividends

The loss for the year, after taxation, amounted to £11,239,000 (2022 - loss £11,851,000).

Directors

The Directors who served during the year were:

J Berylson
P Garston
C Gonticas
S A Kavanagh
T J Keyse
D Kouvaris
R S Press
M K Sidman (appointed 2 September 2022)

The following Director resigned after the year end:

J G Berylson (resigned on passing 13 July 2023)

Political and charitable donations
During the year, the Company made a contribution to a charity of £Nil (2022 - £Nil). Refer to page 3 for community activities. The Company made no political donations.

Market value of land and buildings
Given the specialised nature of the Company's property interests, the Directors do not consider that, without incurring the expense of a specialist third party professional valuer, there is a readily ascertainable market value for the Company's properties, which are carried in the accounts at cost less depreciation. However, given the typical valuation methodology for valuation of a football stadium would be depreciated replacement cost, based on the information available to the Directors, they do not believe there to be any indication of impairment to the carrying value.

Payment of creditors
The Company's policy is to settle agreed amounts outstanding to creditors within sixty days. This policy is made known to staff who handle payments to suppliers and is made known to suppliers on request. The Company's trade creditors at 30 June 2023 represented 50 days purchase (2022 - 76 days).

Employee involvement
The Company operates employment policies, which place emphasis upon employee involvement where possible. The Company practices equality of employment opportunity irrespective of sex, race, colour, marital status or ethnic or national origins. It is the Company's policy to offer equal opportunity to disabled persons wherever appropriate, having regard to their aptitudes and abilities.

Other disclosures
Disclosure of exposure to financial risks, post balance sheet events and future developments are included in the strategic report on pages 1 to 5.

Disclosure of information to auditor

Each of the persons who are Directors at the time when this Directors' Report is approved has confirmed that:

- so far as the Director is aware, there is no relevant audit information of which the Company's auditor is unaware; and
- the Director has taken all the steps that ought to have been taken as a Director in order to be aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Auditor

The auditor, BDO LLP, was appointed during the year and will be proposed for reappointment in accordance with section 485 of the Companies Act 2006.

This report was approved by the board on 28th March 2024 and signed on its behalf.

S A Kavanagh
Director

Directors' Responsibilities Statement
For the Year Ended 30 June 2023

The Directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law the Directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

In preparing these financial statements, the Directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The Millwall Football and Athletic Company (1985) Limited

Independent Auditor's Report to the Members of The Millwall Football and Athletic Company (1985) Limited

Opinion on the financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 30 June 2023 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- the financial statements have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements of The Millwall Football and Athletic Company (1985) Limited ("the Company") for the year ended 30 June 2023 which comprise the Statement of Comprehensive Income, the Statement of Financial Position, the Statement of Changes in Equity, and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Material uncertainty relating to going concern

We draw attention to note 2 to the Company financial statements which describes how the ability of the Company to continue as a going concern is dependent on additional funding from the shareholder that is not guaranteed. As stated in Note 2, these events or conditions, along with other matters as set forth in Note 2, indicate that a material uncertainty exists that may cast significant doubt on the Company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

In auditing the financial statements, we have concluded that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Our responsibilities and the responsibilities of the Directors with respect to going concern are described in the relevant sections of this report.

Other information

The Directors are responsible for the other information. The other information comprises the information included in the annual report other than the financial statements and our Auditor's Report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Other Companies Act 2006 reporting

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and the Directors' Report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report or the Directors' Report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of Directors

As explained more fully in the Directors' Responsibilities Statement, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an Auditor's Report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Extent to which the audit was capable of detecting irregularities, including fraud

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

Non-compliance with laws and regulations
Based on:

- Our understanding of the Company and the industry in which it operates;
- Discussion with management and those charged with governance; and
- Obtaining and understanding of the Company's policies and procedures regarding compliance with laws and regulations.

we considered the significant laws and regulations to be applicable Accounting Standards and the Companies Act 2006.

The Company is also subject to laws and regulations where the consequence of non-compliance could have a material effect on the amount or disclosures in the financial statements, for example through the imposition of fines or litigations. We identified such laws and regulations to be applicable employment law, data protection and health and safety legislation, the Bribery Act 2010, as well as compliance with the English Football League rules.

Our procedures in respect of the above included:

- Review of minutes of meeting of those charged with governance for any instances of non-compliance with laws and regulations;
- Review of correspondence with tax authorities for any instances of non-compliance with laws and regulations, and
- Review of financial statement disclosures and agreeing to supporting documentation.

Fraud
We assessed the susceptibility of the financial statements to material misstatement, including fraud. Our risk assessment procedures included:

- Enquiry with management and those charged with governance regarding any known or suspected instances of fraud;
- Obtaining an understanding of the Company's policies and procedures relating to:
  - Detecting and responding to the risks of fraud; and
  - Internal controls established to mitigate risks related to fraud.
- Review of minutes of meeting of those charged with governance for any known or suspected instances of fraud;
- Discussion amongst the engagement team as to how and where fraud might occur in the financial statements; and
- Performing analytical procedures to identify any unusual or unexpected relationships that may indicate risks of material misstatement due to fraud.

Based on our risk assessment, we considered the areas most susceptible to fraud to be management override of controls, improper revenue recognition and management bias in accounting estimates.

Auditor's responsibilities for the audit of the financial statements (continued)

Our procedures in respect of the above included:

- Discussion held with management and those charged with governance, including consideration of known or suspected instances of non-compliance with laws and regulations and fraud;
- Agreement of the financial statement disclosures to underlying supporting documentation;
- Testing journal entries throughout the year, which met defined risk criteria, by agreeing to supporting documentation as appropriate;
- Testing a sample of contracted revenues to supporting documentation;
- Challenging assumptions and judgements made by management in their significant accounting estimates, in particular those relating to the carrying value of player registrations including discounting of payables and receivables and potential impairments, and
- Assessing significant estimates made by management for bias, in particular relation to impairment of intangible assets and the recoverability of financial assets.

We also communicated relevant identified laws and regulations and potential fraud risks to all engagement team members who were all deemed to have appropriate competence and capabilities and remained alert to any indications of fraud or non-compliance with laws and regulations throughout the audit.

Our audit procedures were designed to respond to risks of material misstatement in the financial statements, recognising that the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery, misrepresentations or through collusion. There are inherent limitations in the audit procedures performed and the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely we are to become aware of it.

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an Auditor's Report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

DocuSigned by:
Ian Clayden
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Ian Clayden (Senior Statutory Auditor)
For and on behalf of BDO LLP, Statutory Auditor
London
United Kingdom
28 March 2024

BDO LLP is a limited liability partnership registered in England and Wales (with registered number OC305127).

The Millwall Football and Athletic Company (1985) Limited

Statement of Comprehensive Income
For the Year Ended 30 June 2023

	Note	2023 £000	2022 £000
Turnover	4	19,358	18,593
Staff costs	7	(22,583)	(22,315)
Amortisation of player's registrations		(2,114)	(1,771)
Depreciation		(535)	(546)
Other operating income	5	189	1,327
Profit/(loss) on disposal of players' registrations		2,512	(106)
Other administrative expenses		(7,879)	(7,002)
Operating loss	6	(11,052)	(11,820)
Interest payable and similar expenses		(187)	(31)
Loss before tax		(11,239)	(11,851)
Tax on loss	9	-	-
Loss for the financial year		(11,239)	(11,851)
Other comprehensive income		-	-
Total comprehensive income for the year		(11,239)	(11,851)

All amounts relate to continuing activities.

There were no recognised gains and losses for 2023 or 2022 other than those included in the statement of comprehensive income.

The notes on pages 16 to 31 form part of these financial statements.

The Millwall Football and Athletic Company (1985) Limited

Registered number: 01924222

Statement of Financial Position
As at 30 June 2023

	Note	2023 £000	2023 £000	2022 £000	2022 £000
Fixed assets					
Intangible assets	10		**4,000**		2,125
Tangible assets	11		**16,187**		16,052
			20,187		18,177
Current assets					
Stocks	12	**67**		47	
Debtors: amounts falling due within one year	13	**4,183**		1,817	
Cash at bank and in hand		**283**		158	
		4,533		2,022	
Creditors: amounts falling due within one year	14	**(150,758)**		(131,421)	
Net current liabilities			**(146,225)**		(129,399)
Total assets less current liabilities			**(126,038)**		(111,222)
Creditors: amounts falling due after more than one year	15		**(1,650)**		(5,227)
Net liabilities			**(127,688)**		(116,449)
Capital and reserves					
Called up share capital	19		**400**		400
Share premium account	20		**3**		3
Profit and loss account	20		**(128,091)**		(116,852)
Total equity attributable to the shareholders of the company			**(127,688)**		(116,449)

The financial statements were approved and authorised for issue by the board and were signed on its behalf on 28th March 2024

S A Kavanagh
Director

The notes on pages 16 to 31 form part of these financial statements.

Statement of Changes in Equity
For the Year Ended 30 June 2023

	Called up share capital	Share premium account	Profit and loss account	Total equity
	£000	£000	£000	£000
At 1 July 2022	400	3	(116,852)	(116,449)
Comprehensive loss for the year				
Loss for the year	-	-	(11,239)	(11,239)
At 30 June 2023	400	3	(128,091)	(127,688)

Statement of Changes in Equity
For the Year Ended 30 June 2022

	Called up share capital	Share premium account	Profit and loss account	Total equity
	£000	£000	£000	£000
At 1 July 2021	400	3	(105,001)	(104,598)
Comprehensive loss for the year				
Loss for the year	-	-	(11,851)	(11,851)
At 30 June 2022	400	3	(116,852)	(116,449)

The notes on pages 16 to 31 form part of these financial statements.

Notes to the Financial Statements
For the Year Ended 30 June 2023

1. General information

The Millwall Football and Athletic Company (1985) Limited (Previously The Millwall Football and Athletic Company (1985) PLC) is a private company limited by shares and incorporated in England and Wales under the Companies Act 2006. The address of the registered office is given on the Company information page and the nature of the Company's operations and its principal activities are set out in the Strategic Report.

2. Accounting policies

2.1 *Basis of preparation of financial statements*

The financial statements have been prepared under the historical cost convention unless otherwise specified within these accounting policies and in accordance with Financial Reporting Standard 102, the Financial Reporting Standard applicable in the UK and the Republic of Ireland and the Companies Act 2006.

The preparation of financial statements in compliance with FRS 102 requires the use of certain critical accounting estimates. It also requires management to exercise judgement in applying the Company's accounting policies (see note 3).

The presentational and functional currency of these financial statements is GBP. Values are rounded to the nearest £'000.

The following principal accounting policies have been applied:

2.2 Financial Reporting Standard 102 - reduced disclosure exemptions

The Company has taken advantage of the following disclosure exemptions in preparing these financial statements, as permitted by the FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland":

- the requirements of Section 7 Statement of Cash Flows;
- the requirements of Section 3 Financial Statement Presentation paragraph 3.17(d);
- the requirements of Section 11 Financial Instruments paragraphs 11.42, 11.44 to 11.45, 11.47, 11.48(a)(iii), 11.48(a)(iv), 11.48(b) and 11.48(c);
- the requirements of Section 12 Other Financial Instruments paragraphs 12.26 to 12.27, 12.29(a), 12.29(b) and 12.29A;
- the requirements of Section 26 Share-based Payment paragraphs 26.18(b), 26.19 to 26.21 and 26.23;
- the requirements of Section 33 Related Party Disclosures paragraph 33.7.

This information is included in the consolidated financial statements of Millwall Holdings Limited as at 30 June 2023 and these financial statements may be obtained from the Registrar of Companies Registration Office, Crown Way, Cardiff CF4 3UZ.

2.3 Going concern

In assessing the appropriateness of the going concern assumption, the Directors have produced detailed cash flow forecasts which until 30 June 2025.

2. Accounting policies (continued)

2.3 Going concern (continued)

The Director's have continued to undertake a range of measures to ensure a prudent running of the organisation. There is a £20m facility in place from CHV that was drawn to £10m as at the year end, which does not fall due for repayment until 1 July 2025. The Directors believe this, in conjunction with the ongoing support of the Companys's principal shareholder, provides sufficient working capital for the current needs of the Group and Company for the foreseeable future, being not less than 12 months from the date of approval of these financial statements.

The Club and Directors strongly support the call by the fan led review and the EFL for a redistribution of income from the Premier League providing it comes with enhanced regulation to help improve the sustainability of clubs and the ability of the regulator to directly deal with any systemic failings within the football pyramid. Regulation and redistribution must come as one.

At 30 June 2023, the Company had net liabilities of £128.0 million and net current liabilities of £146.5 million.

The Directors continually monitor the financial position of the Company and have prepared the financial statements on a going concern basis, having had regard to:

- cash flow projections prepared to 30 June 2025, and expected cash flow forecasts for the year thereafter i.e. to 30 June 2026, including the effect of player trading; and
- the continuing provision of facilities to the Group from Chestnut Hill Ventures LLC ("CHV"). The repayment date on the existing £10 million loan facility was extended during the year to 1 July 2025, with interest accruing only from 1 July 2024. CHV has also undertaken to provide the Group with further support, if necessary, for at least the next 12 months, as it has done during the current and previous financial years.

Forecasts prepared for and reviewed by the board demonstrate that in most reasonable scenarios additional shareholder funding will be required which is not yet guaranteed. As such, the Directors have identified a material uncertainty that may cast significant doubt over the Company's and the Group's ability to continue as a going concern and therefore its ability to realise its assets and discharge its liabilities in the normal course of business.

While there will always remain inherent uncertainty, the Directors remain confident that they will be able to manage the Group's and Company's finances and operations so as to achieve the forecasted cash flows and, with the continued support of CHV, consider that it is appropriate to draw up the financial statements on a going concern basis.

The financial statements do not include any adjustments that would result if the going concern basis of preparation were to become no longer appropriate.

2.4 Turnover

Turnover represents income receivable from the Company's principal activities excluding transfer fees and value added tax.

Turnover is analysed between three categories of income streams: Match Day, Central League Awards and Commercial.

2. Accounting policies (continued)

2.4 Turnover (continued)

Match Day
Match Day turnover represents income receivable from all match day activities from Millwall games at The Den, together with the share of gate receipts from cup games not played at The Den. The share of gate receipts payable to the other participating club for domestic cup matches played at The Den is treated as a reduction in turnover. Season ticket revenue is recognised over the period of the football season as home matches are played.

Central League Awards
Central League Award revenue comprises the Basic Award and the Solidarity Award from the Football League, along with grant income for the Academy, prize money earned from cup competitions. Awards are recognised over the financial period to which they relate once recovery is considered probable and the revenue can be measured reliably.

Commercial
Commercial revenue comprises income receivable through sponsorship, shop revenue, use of the conference and catering facilities at The Den on non-match days and sundry other income. Sponsorship contracts are recognised over the duration of the contract, either on a straight line basis, or over the period of the football season, as appropriate based on the terms of the contract. Catering revenues are recognised on an earned basis. Revenue from sale of branded products is recognised at the point of dispatch when significant risks and rewards of ownership is deemed to have been transferred to the buyer.

2.5 Deferred income

All income received in advance of football activities, such as season ticket revenue, league awards, advertising, sponsorship and broadcasting revenues are treated as deferred income and released to income over the period or number of matches to which they relate.

2.6 Tangible fixed assets

Tangible fixed assets under the cost model are stated at historical cost less accumulated depreciation and any accumulated impairment losses. Historical cost includes expenditure that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

Depreciation is provided on the following basis:

Long leasehold premises	- 1% per annum
Fixtures and fittings	- 10%-33% per annum
Pitch renovation	- over the next season
Motor vehicles	- 25% per annum
Leasehold improvement	- Over the life of the lease

Residual value is initially calculated on prices prevailing at the date of acquisition. Residual value is reviewed in each financial period and any changes to initial estimates are reflected in the period of change.

When a significant part of property, plant and equipment is required to be replaced at intervals, the Group derecognises the replaced part, and recognises the new part with its own associated useful life and depreciation. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in the income statement as incurred.

2. Accounting policies (continued)

2.7 Impairment of non-financial assets (excluding inventories)

Non-financial assets are subject to impairment tests whenever events or changes in circumstances indicate that their carrying amount may not be recoverable. Where the carrying value of an asset exceeds its recoverable amount (i.e. the higher of value in use and fair value less costs to sell), the asset is written down accordingly.

Impairment charges are included in the other expenses line item in the statement of comprehensive income.

2.8 Stocks

Stocks are stated at the lower of cost and net realisable value. Net realisable value is based on estimated selling price, less further costs expected to be incurred to disposal. Provision is made for obsolete, slow-moving or defective items where appropriate.

2.9 Debtors

Short term debtors are measured at transaction price, less any impairment. Loans receivable are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method, less any impairment.

2.10 Cash and cash equivalents

Cash is represented by cash in hand and deposits with financial institutions repayable without penalty on notice of not more than 24 hours. Cash equivalents are highly liquid investments that mature in no more than three months from the date of acquisition and that are readily convertible to known amounts of cash with insignificant risk of change in value.

2.11 Creditors

Short term creditors are measured at the transaction price. Other financial liabilities, including bank loans, are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method.

2.12 Pension costs and other post retirement benefits

For defined contributions schemes, the amount charged to the statement of comprehensive income in respect of pension costs is the contributions payable in the year. Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the statement of financial position.

Where the Company participates in a defined benefit plan, which is a multi-employer plan that is accounted for as if the plan were a defined contribution plan, and the Company has entered into an agreement with the multi-employer plan that determines how the Company will fund a deficit, the Company recognises a liability for the contributions payable that arise from the agreement and a resulting expense in the Statement of Comprehensive Income.

2. Accounting policies (continued)

2.13 Leases

Assets held under finance leases, which confer rights and obligations similar to those attached to owned assets, are capitalised as tangible fixed assets and are depreciated over the shorter of the lease terms and their useful lives. The capital elements of the future lease obligations are recorded as liabilities, while the interest elements are charged to profit and loss over the period of the leases to produce a constant rate of charge on the balance of capital repayments outstanding. Hire purchase transactions are dealt with similarly, except that assets are depreciated over their useful lives.

Rentals under operating leases are charged on a straight-line basis over the lease term, even if the payments are not made on such a basis. Benefits received and receivable as an incentive to sign an operating lease are similarly spread on a straight line basis over the lease term. Lease incentives on leases entered into before the date of transition to FRS 102 (1 July 2014) continue to be charged over the shorter period to the first market rent review rather than the term of the lease.

2.14 Grants

Grants relating to tangible fixed assets are treated as deferred income and released to the statement of comprehensive income over the expected useful lives of the assets concerned. Other grants, including those received under the UK Government's Coronavirus Job Retention Scheme ('furlough'), are credited to profit and loss as the related expenditure is incurred.

2.15 Players' registrations

The costs associated with the acquisition of players' registrations are initially recorded at fair value of the consideration payable at the date of acquisition as intangible fixed assets. These costs are fully amortised over the period of the respective players' contracts.

For the purposes of impairment reviews, acquired players' registrations are classified within the single football club cash-generating unit until the point at which it is made clear that the player is no longer an active member of the playing squad which is typically because either the player is out of favour with the team, or the player is permanently injured. In these circumstances the carrying value of the player's registration is reviewed against market value less costs to sell and impaired to the extent that the carrying value exceeds this net realisable value.

In situations where a player is permanently injured, fair value is considered to be expected insurance recovery amount.

2.16 Signing on fees

Signing on fees are charged, on a straight line basis, to the statement of comprehensive income over the period of the player's contract. Prepayments/accruals arising at each period end are included within prepayments and accrued income or accruals within current assets or current liabilities, as appropriate. Where a player's registration is transferred, any signing on fee payable in respect of future periods are charged against the profit/(loss) on disposal of players' registrations in the period in which the disposal is recognised.

2.17 Transfer fees

Transfer fees receivable are recognised in the period in which the registration is transferred and any profit or loss arising is dealt with in the statement of comprehensive income. Contingent transfer fees receivable are recognised once the contingent conditions become probable which is usually when they have been met.

2. Accounting policies (continued)

2.18 Taxation and deferred tax

Corporation tax payable is provided on taxable profits at the current rate.

Deferred tax balances are recognised in respect of all timing differences that have originated but not reversed by the balance sheet date except that the recognition of deferred tax assets is limited to the extent that the Company anticipates to make sufficient taxable profits in the future to absorb the reversal of the underlying timing differences.

Deferred tax balances are not discounted.

3. Judgements in applying accounting policies and key sources of estimation uncertainty

In the application of the Company's accounting policies, which are described above and on the previous page, the Directors are required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revisions affects both the current and future periods.

In preparing these financial statements, the Directors have made the following judgements:

- Useful lives of intangible assets

  Intangible assets are amortised over the length of the players' contract which is deemed to be their useful lives and management's estimates as to their continuing usefulness to the football side.

- Useful lives and residual values of property, plant and equipment

  Property, plant and equipment are depreciated to their residual values over their useful lives. Useful lives are based on estimates of the period that the assets will generate revenue, which are periodically reviewed for continued appropriateness.

4. Turnover

An analysis of turnover by class of business is as follows:

	2023 £000	2022 £000
Match Day	6,169	5,786
Central League Awards	10,229	9,142
Commercial	2,960	3,665
	19,358	18,593

All turnover arose within the United Kingdom.

5. Other operating income

	2023 £000	2022 £000
Loan fee income	86	340
Furlough income	-	37
Donations	-	-
Other claims and settlement income	103	950
	189	1,327

6. Operating loss

The operating loss is stated after charging/(crediting):

	2023 £000	2022 £000
Depreciation of tangible fixed assets - owned assets	535	546
Amortisation of grant	(81)	(81)
Amortisation of proceeds on sale of training ground (note 16)	(63)	(63)
Operating lease rentals - land and buildings	324	330
Operating lease rentals - other	46	46
Auditors remuneration		
- audit of company financial statements	74	62
- other services	7	5
Amortisation of players' registrations	2,114	1,771
(Profit)/loss on sale of player's registrations	(2,512)	106
Staff furlough income	-	(37)

7. Employees

Staff costs, including Directors' remuneration, were as follows:

	2023 £000	2022 £000
Wages and salaries	19,977	19,828
Social security costs	2,367	2,289
Cost of defined contribution scheme	239	199
	22,583	22,316

The average monthly number of employees, including the Directors, during the year was as follows:

	2023 No.	2022 No.
Football team management	46	38
Administration and ground staff	49	50
Players (including Academy)	61	67
	156	155

In addition, the Company employs, on average, a further 128 (2022 - 54) temporary staff on match days.

8. Directors' remuneration

	2023 £000	2022 £000
Directors' emoluments	434	404
Company contributions to defined contribution pension schemes	12	12
	446	416

Payments to money purchase pension schemes were made in respect of 1 Director (2022 - 1). The remuneration of the highest paid Director was £446,000 (2022 - £416,000) including £12,000 (2022 - £12,000) of pension contributions.

The Company's key management personnel are considered to be its Directors.

9. Taxation

	2023 £000	2022 £000
Corporation tax		
Current tax on losses for the year	-	-
Total current tax	-	-
Taxation on loss on ordinary activities	-	-

Factors affecting tax charge for the year

The tax assessed for the year is differs from the standard rate of corporation tax in the UK of 20.5% (2022 - 19%). The differences are explained below:

	2023 £000	2022 £000
Loss on ordinary activities before tax	**(11,239)**	(11,851)
Loss on ordinary activities multiplied by standard rate of corporation tax in the UK of 20.5% (2022 - 19%)	**(2,304)**	(2,252)
Effects of:		
Expenses and income not deductible or taxable for tax purposes	**282**	155
Unutilised losses carried forward	**2,022**	2,097
Total tax charge for the year	-	-

A deferred taxation asset has not been recognised in respect of trading tax losses totalling £122.1m (2022 - £112.2m) given the inherent uncertainty of future profits. The unprovided deferred tax asset is calculated at £30.5m (2022 - £28.0m).

A deferred taxation asset has not been recognised in respect of unclaimed capital allowances totalling £13.5m (2022 - £11.9m) given the inherent uncertainty of future profits. The unprovided deferred tax asset is calculated at £3.4m (2022 - £3.0m).

The substantively enacted tax rate was 25% as at the statement of financial position date of 30 June 2023.

The Government included the above changes in the Finance Bill 2021 that had its third reading on 24 May 2021 and is now considered substantively enacted.

9. Taxation (continued)

Factors affecting future tax charge

The substantively enacted tax rate was 25% as at the Balance Sheet date of 30 June 2023.

It was announced on 3 March 2021 that the main rate of corporation tax will increase from 19% to 25% from 1 April 2023. For profits up to £50,000, the corporation tax rate remains at 19% and for profits over £250,000, the corporation tax rate is now 25%. Marginal relief provisions are in place for profits between the lower and upper limits.

10. Intangible assets

	Players' registrations £000
Cost	
At 1 July 2022	7,682
Additions	3,989
Disposals	(1,946)
At 30 June 2023	9,725
Amortisation	
At 1 July 2022	5,557
Charge for the year	2,114
On disposals	(1,946)
At 30 June 2023	5,725
Net book value	
At 30 June 2023	4,000
At 30 June 2022	2,125

11. Tangible fixed assets

	Long leasehold premises £000	Assets in the course of construction £000	Fixtures, fittings and equipment £000	Leasehold improvements £000	Motor vehicles £000	Total £000
Cost or valuation						
At 1 July 2022	18,706	1,422	5,768	319	42	26,257
Additions	-	372	298	-	-	670
Disposals	-	-	(35)	-	-	(35)
At 30 June 2023	18,706	1,794	6,031	319	42	26,892
Depreciation						
At 1 July 2022	5,252	-	4,734	177	42	10,205
Charge for the year	284	-	214	37	-	535
Disposals	-	-	(35)	-	-	(35)
At 30 June 2023	5,536	-	4,913	214	42	10,705
Net book value						
At 30 June 2023	13,170	1,794	1,118	105	-	16,187
At 30 June 2022	13,454	1,422	1,034	142	-	16,052

The amounts classified as long leasehold premises represent costs associated with the building of football stadium at The Den.

Certain assets under construction were incorrectly subsumed within long leasehold premises within the tangible fixed assets note as at 30 June 2022 in the prior year financial statements. These categories have been disaggregated to separate those assets in use from those under construction.

The net carrying value of assets held under finance lease is £183,031 (2022 - £219,573).

12. Stocks

	2023 £000	2022 £000
Finished goods and goods for resale	67	47

13. Debtors: amounts falling due within one year

	2023 £000	2022 £000
Trade debtors	1,780	1,190
Transfer fees receivable	1,944	130
Other debtors	50	50
Prepayments and accrued income	409	447
	4,183	1,817

14. Creditors: amounts falling due within one year

	2023 £000	2022 £000
Other loans	2,971	2,973
Trade creditors	3,596	1,709
Taxation and social security	1,615	1,157
Amounts relating to cumulative redeemable preference shares	55	55
Other creditors	29	78
Accruals and deferred income	4,000	3,790
Amounts owed to immediate parent Company	138,492	121,659
	150,758	131,421

Included within accruals and deferred income is an amount of £2,876,000 (2022 - £2,305,000) in relation to amounts received in advance, in respect of season tickets, league awards, executive boxes, membership, advertising and sponsorship relating to the following year.

Under their terms, the 5% cumulative redeemable preference shares of £1 each should have been redeemed by 4 March 1998, but the holders have not taken up their rights of redemption. The preference shares carry no voting rights and on a winding up are entitled to a repayment of the amount paid up plus any dividends due.

The preference shareholders have waived their entitlement to their dividends in respect of the year under review together with the arrears of the preference dividends.

The amount due to the immediate parent Company is interest free, unsecured and has no fixed terms of repayment. Net drawdowns totaling £16,833,000 (2022 - £12,940,000) were made during the year.

15. Creditors: amounts falling due after more than one year

	2023 £000	2022 £000
Other loans	-	2,970
Other creditors	-	365
Accruals	113	212
Deferred income (see note 16)	1,537	1,680
	1,650	5,227

16. Deferred income

	2023 £000	2022 £000
Grants received in respect of the long leasehold premises and other fixtures and fittings (a further £81,000 is included within current liabilities-deferred income)	1,474	1,555
Unamortised proceeds from the sale of the Training Ground in excess of market value which is being amortised on a straight line basis over 20 years to 2025 (a further £61,000 is included within current liabilities-deferred income)	63	125
	1,537	1,680

17. Loans

Analysis of the maturity of loans is given below:

	2023 £000	2022 £000
Amounts falling due within one year		
Other loans	2,971	2,973
Amounts falling due within 2 to 5 years		
Other loans	-	2,970
	2,971	5,943

18. Financial instruments

	2023 £000	2022 £000
Financial assets		
Financial assets measured at amortised cost	3,745	1,478
Financial liabilities		
Financial liabilities measured at amortised cost	7,833	9,792

Financial assets measured at amortised cost comprise trade debtors, transfer fees receivable, and cash and cash equivalents.

Financial liabilities measured at amortised cost comprise trade and other creditors, other loans payable and accruals.

19. Share capital

	2023 £000	2022 £000
Allotted, called up and fully paid		
400,000 ordinary shares of £1 each	400	400

20. Reserves

The Company's capital and reserves are as follows:

Called up share capital

Called up share capital represents the nominal value of the shares issued.

Profit and loss account

The profit and loss account represents cumulative profits or losses, net of dividends paid and other adjustments.

21. Financial commitments

(a) *Non-cancelable operating leases*

Commitments under non-cancelable operating leases are as follows;

	Land and Buildings 2023 £000	Other 2023 £000	Total 2023 £000	Land and Buildings 2022 £000	Other 2022 £000	Total 2022 £000
Minimum lease payments due:						
Within one year	368	48	416	368	48	416
In two to five years	776	47	823	1,094	48	1,142
After five years	1,264	-	1,264	1,314	-	1,314
	2,408	95	2,503	2,776	96	2,872

(b) Pensions

The Club participates in the Football League Pension and Life Assurance Scheme ('the Scheme'). The Scheme is a funded multi-employer defined benefit scheme, with 92 participating employers, and where members may have periods of service attributable to several participating employers. The Club is unable to identify its share of the assets and liabilities of the Scheme and therefore accounts for its contributions as if they were paid to a defined contribution scheme.

The Club is making scheme funding payment based on the actuarial valuation carried out on 31 August 2018. The key assumptions used to calculate the deficit at the 31 August 2018 actuarial valuation were:

Discount Rate	3.6% p.a. until 2022, 2.5% p.a. for the following 10 years and 1.5% p.a. thereafter.
RPI inflation:	3.3% p.a.
Pension Increases:	3.7% p.a.
Mortality (pre-retirement):	None
Mortality (post-retirement):	SAPS S2PMA / S2PFA CMI_2016 1.5%

The Club pays monthly contributions based on a notional split of the total expenses and deficit contributions of the Scheme.

The results of this actuarial valuation when the Club recognised its notional share of the deficit, calculated using the actuarial valuation assumptions, resulted in a liability of £364,632 (2022 - £364,632). Since 2017 the club has been paying against this deficit in line with scheduled contributions. This resulted in a charge of £Nil (2022 - £Nil) being made to profit and loss in the current year.

The Club currently has 1 employee who is a member of the scheme (2022 - 1) and pays total contributions of £49,575 p.a. which increases at 5.0% p.a. Based on the actuarial valuation assumptions detailed above, these contributions will be sufficient to pay off the Club's share of the deficit by 31 May 2026.

Under the terms and conditions of the multi-employer plan the entity cannot be liable to the plan for other entities' obligations.

21. *Financial commitments (continued)*

Certain other employees of the Group, except for football players who are responsible for their own pension arrangements, are eligible to be members of defined contribution schemes. The assets of any schemes are held in funds separate from the Group.

(c) Transfer fees payable/receivable

Under the terms of certain contracts with other football clubs in respect of player transfers, additional amounts would be receivable/payable by the Company if conditions as to future team selection are met. The maximum that could be receivable is £1,045,000 (2022 - £750,000). The maximum that could be payable is £3,480,000 (2022 - £3,025,000). These amounts have not been provided for in the financial statements. These amounts do not include various payments or receipts that are determinable only on circumstances which are distant or outside the direct control of the parties to the contract and the player in question.

22. **Related party transactions**

The Company has taken advantage of the exemption in FRS 102 not to disclose transactions with wholly owned entities within the Group of which it is a member.

23. **Post balance sheet events**

As noted elsewhere in the Directors Report, in July 2023, the Club Chairman, John Berylson, tragically passed away following a car accident. This has had a deep impact on everyone associated with the Club.

Since June 2023, we have strengthened the team by adding a number of players, namely Nisbet, De Norre, Harding and Šarkic as permanent signings in the summer window, along with loans in of Norton-Cuffy, Longman and Campbell. The winter window saw an additional signing of Mayor, with further loans in of Tanganga and Obafemi. Players outward bound during the season include Evans, Burey, Vogslammer and Long.

24. **Controlling party**

Millwall Holdings Limited (formerly Millwall Holdings PLC) is the immediate parent undertaking of the Company and the parent of the only Group to prepare consolidated financial statements which include the results of the Company. Copies of those Group accounts have been delivered to, and are available from, the Registrar of Companies Registration Office, Crown Way, Cardiff CF4 3UZ.

Millwall Holdings Limited is under the control of Chestnut Hill Ventures LLC, a Company which is incorporated in the USA. Chestnut Hill Ventures LLC is ultimately controlled jointly by J Berylson and R A Smith, as Trustee of the Philip dec'd Will Trust.